rent will increase annually in line with inflation at an average of 3.4 percent per year. Next year, that $2,300 per month becomes $2,378 per month, then $2,459 the year after that.

Of course, you won't build any equity in the property you live in, but you only have to pay that simple $2,300 per month to enjoy your sun-soaked paradise.

And in the right corner, current world heavyweight champion…

Buying a house! Though buying a home means owning a slice of property, homeownership is not nearly as straightforward as sending off a monthly rent payment.

Let's start with the hard numbers. This house is listed at $400,000. The buyer makes a 10 percent down payment and pays 3 percent of the property's value in closing costs: an all-in total of $52,000 cash to close on the property. The buyer then assumes a loan of $360,000 (the purchase price minus the down payment), and with all interest, taxes, and insurance included, the buyer's monthly mortgage payment is $2,917 per month. Because broken windows and running water aren't free, let's tack on an extra $250 per month for maintenance and utilities. This comes to a total cost of $3,167 per month, or $38,000 per year.

Simple enough, right? The home buyer obviously pays more per year than the renter.

That's true, but it's not so easy. We also need to take into consideration all those wonderful benefits of homeownership. The first and most obvious would be building equity—part of that $2,917 monthly payment will pay off the total loan balance. The property will also appreciate (that is, increase in value) at an average rate of 3.4 percent per year. Appreciation is complicated, but for the sake of this example, let's say the $400,000 home will be worth $413,600 this time next year, then $427,662 the year after that.

Though this sounds wonderful, you can't forget that this daring home buyer brought $52,000 in hard cash to close on the house. (And by *hard cash*, we don't mean stowed in a sketchy briefcase—we mean real money, not credit, from a bank account.) Because the buyer's mortgage payments come out to $38,000 per year, that means the buyer spends a total of $90,000 just in the first year.